



Challenge 8th edition: Case Study

B-school Case study competition at PwC AC India



Industry Overview

The global fashion industry is one of the world's largest consumer industries, valued at approximately USD 1.7 trillion (2024). It spans luxury, premium, fast fashion, value fashion and sustainable fashion, serving billions of consumers across physical stores, digital platforms and online marketplaces. Over the past decade, the industry has been reshaped by digital commerce, social media and rapidly evolving consumer preferences, making speed-to-market a key competitive advantage. Traditional 12–16 week design-to-store cycles have been compressed to less than four weeks by digitally native brands that leverage technology, data and agile operating models to rapidly identify trends, launch collections and respond to customer demand.

At the same time, fashion companies face increasing operational and sustainability challenges. The industry generates an estimated 92 million tonnes of textile waste annually, with 20–30% of garments remaining unsold, while regulations such as the EU Strategy for Sustainable and Circular Textiles and Extended Producer Responsibility (EPR) are raising expectations around responsible sourcing, traceability and waste reduction. Fashion also remains highly labour-intensive, employing over 75 million people globally, yet organizations continue to grapple with high employee attrition, widening digital skill gaps and the need to build an AI-ready workforce.

Against this backdrop, Artificial Intelligence (AI) has emerged as a key enabler of transformation across the fashion value chain. Leading organizations are using AI to improve trend forecasting, demand planning, merchandising, pricing, customer engagement and operational decision-making. AI-powered virtual stylists, intelligent customer support and generative design tools are helping companies shorten product development cycles, reduce markdowns and deliver more personalized customer experiences. Increasingly, AI is being viewed not as a replacement for human creativity, but as a capability that augments employees by automating routine tasks and enabling greater focus on innovation and customer engagement.

As AI adoption accelerates, competitive advantage is increasingly determined by how effectively organizations redesign their operating models, empower employees and integrate AI into everyday decision-making while maintaining customer trust, creativity and responsible business practices. It is against this backdrop that StyleVerse Global is embarking on its enterprise-wide AI transformation journey.

Company Background and Current Business Challenges

StyleVerse Global is one of India's leading vertically integrated fashion companies with operations across India, Europe and North America. Over the past two decades, the company has evolved from a domestic apparel retailer into a diversified global fashion enterprise, operating across design, manufacturing, merchandising, retail and direct-to-consumer (D2C) commerce. Today, StyleVerse serves more than 18 million customers annually through a portfolio of five brands spanning luxury, premium, fast fashion, sustainable fashion and value apparel. Its operations include over 200 retail stores, 30 manufacturing facilities, a rapidly expanding digital commerce platform contributing 35% of total revenue, and a workforce of more than 28,000 employees across design, production, merchandising, marketing, retail operations, customer experience and corporate functions. Every year, the company launches approximately 12 seasonal collections and manages more than 8,000 SKUs, making coordination across business functions both operationally intensive and strategically important.

The company's diversified portfolio has been a key driver of its success. **SpeedStyle**, its largest and fastest-growing brand, competes in the fast-fashion segment where rapid trend identification and frequent product launches are critical to success. **UrbanEdge** caters to young professionals through a balanced omnichannel retail model, while **Maison Luxe** differentiates itself through craftsmanship, exclusivity and highly personalized customer experiences. **EcoWeave**, the company's sustainability-focused brand, has emerged as its fastest-growing business, reflecting increasing consumer demand for environmentally responsible fashion, while **ThreadBasics** serves value-conscious consumers through retail and wholesale channels with a strong focus on affordability and operational efficiency. Collectively, these brands have enabled StyleVerse to build a broad customer base while reducing dependence on any single market segment.

While this diversified portfolio has become one of StyleVerse's greatest strengths, it has also significantly increased organizational complexity. Each brand serves different customer segments, competes on different value propositions and operates through different combinations of physical retail, digital commerce and wholesale distribution. Decisions around product design, merchandising, pricing, inventory allocation and customer engagement therefore require close collaboration across multiple business functions. As the organization expanded, many of these functions introduced their own systems, processes and ways of working to support business growth. Although these changes improved functional performance, they also created fragmented workflows, duplicated effort and increasing dependence on manual coordination across the enterprise.

Financially, the business continues to demonstrate healthy growth. In FY24, StyleVerse recorded ₹5,600 Crores in revenue with a 42% gross margin, reflecting the strength of its diversified portfolio and expanding digital business. However, leadership has become increasingly concerned that revenue growth has not translated into proportional improvements in profitability. Forecasting inaccuracies and excess inventory have resulted in annual markdown losses of approximately ₹380 Crores, while the company's EBITDA margin remains at 9.5%, below its long-term aspirations. The Executive Leadership Team believes that future growth cannot rely solely on opening more stores, launching more products or increasing marketing spend. Instead, the organization must improve how effectively it converts customer insights into business decisions and operational execution.

The challenge facing StyleVerse is not a lack of growth—it is the growing gap between the pace at which the business environment is changing and the pace at which the organization itself is able to respond. Over the past decade, customer expectations have evolved significantly. Fashion trends now emerge and disappear within days, customers seamlessly move between online and offline channels, and personalized experiences have become the norm rather than a differentiator. At the same time, competitors are increasingly using Artificial Intelligence to identify emerging trends, optimize merchandising decisions, personalize customer engagement and improve operational agility.

Across the organization, information continues to reside in multiple systems, requiring employees to spend considerable time gathering data, preparing reports and coordinating across departments before decisions can be made. Functional teams often optimize their own objectives without complete visibility into downstream impacts on other parts of the business. As a result, decision-making remains heavily dependent on manual intervention, creating delays that are increasingly difficult to sustain in an industry where speed has become a defining competitive advantage. Leadership recognizes that the organization's operating model—rather than any single business function—has become its greatest constraint.

This realization has become evident across several core business functions. Product development remains significantly slower than leading competitors despite having talented design teams. Merchandising decisions continue to depend largely on historical sales analysis rather than real-time consumer signals. Retail employees spend much of their time performing operational tasks instead of engaging customers. Customer service teams struggle to deliver the fast, personalized experiences that modern consumers increasingly expect, while marketing teams find it difficult to convert fragmented customer data into meaningful engagement. Collectively, these challenges have begun to affect both business performance and the organization's ability to compete in a rapidly changing market.

The pace of change is perhaps most visible within Design & Product Development. Fashion trends that once emerged over seasonal cycles are now driven by influencers, digital communities and rapidly changing consumer preferences. However, StyleVerse continues to follow a largely traditional product development process. Designers spend considerable time manually reviewing trend reports, competitor collections, historical sales data and customer feedback before the creative process even begins. Concepts then pass through multiple review and approval cycles involving merchandising, marketing and commercial teams before production decisions can be finalized. While these processes have historically ensured consistency and quality, they have also increased dependence on manual coordination and slowed decision-making across functions. As a result, StyleVerse currently requires an average of 14 weeks to move from identifying a trend to launching products in stores, significantly slower than digitally native competitors that operate on cycles of four weeks or less.

These delays create downstream challenges for the Merchandising & Planning function. Managing more than 8,000 SKUs across five brands requires constant decisions regarding product assortment, inventory allocation and demand forecasting. Today, these decisions continue to rely heavily on historical sales data, spreadsheet-based planning and the experience of individual planners. Although large volumes of customer data exist across stores, e-commerce platforms and loyalty programs, they remain fragmented across multiple systems. External signals such as social media trends, weather patterns, local events and competitor activity are rarely incorporated into planning decisions in a structured manner. This reactive approach has resulted in forecast accuracy of only 62%, approximately 26% unsold inventory and annual markdown losses exceeding ₹380 Crores, highlighting the growing disconnect between customer demand and commercial decision-making.

The impact of these challenges becomes even more visible in Retail Operations, where customer experience is ultimately delivered. With more than 200 stores, StyleVerse relies heavily on store associates to represent its brands and build lasting customer relationships. However, much of an associate's working day is spent on repetitive operational activities such as inventory lookups, stock checks, billing support, product searches, stock transfers and administrative reporting. Store managers face similar challenges, devoting considerable time to coordinating day-to-day operations instead of coaching employees or improving customer engagement. Consequently, the quality of customer interactions often depends more on the experience of individual employees than on standardized, data-driven ways of working. This challenge is further compounded by **42% annual attrition** within Retail Operations, making it increasingly difficult to build consistent capabilities across the workforce.

At the same time, the company's Digital Customer Experience has struggled to keep pace with changing consumer expectations. Although physical retail remains the company's largest customer

touchpoint, digital commerce now contributes 35% of revenue and continues to grow faster than traditional channels. Customers now expect personalized recommendations, seamless omnichannel experiences, accurate sizing guidance and immediate assistance throughout their shopping journey. Instead, customer service representatives often navigate multiple systems before responding to enquiries related to product availability, deliveries, returns and sizing. Customers shopping online also continue to experience difficulties identifying the correct fit, contributing to higher return rates and lower customer confidence. As a result, customer queries require an **average of 48 hours** to resolve, **first-time fit accuracy remains at only 58%** and **return rates** for the SpeedStyle brand have reached **28%**.

Similar challenges exist within Marketing & Customer Engagement. Managing five distinct brands requires highly differentiated marketing strategies while maintaining a unified understanding of customer behaviour across the enterprise. However, customer information remains dispersed across multiple platforms, making it difficult to develop a single view of customer preferences and purchase behaviour. Marketing teams spend considerable time consolidating data, preparing customer segments and analysing campaign performance before campaigns can even be launched. As a result, campaign cycles are lengthy, customer acquisition costs continue to rise and opportunities for cross-brand engagement remain underutilized. As personalization becomes an increasingly important source of competitive advantage within fashion retail, leadership recognizes that future success will depend on enabling marketers to spend less time analysing data manually and more time creating differentiated customer experiences and stronger brand relationships.

The challenges across design, merchandising, retail, customer experience and marketing all point to a broader organizational issue: while StyleVerse has invested heavily in growing its brands and digital capabilities, investment in workforce capability and new ways of working has not kept pace. Employees continue to spend a significant proportion of their working day on repetitive administrative activities that create limited value for customers or the business. The organization currently experiences **31% average employee attrition**, with turnover rising to 42% within Retail Operations, while employees receive only **12 hours of structured learning annually**, significantly below digitally mature organizations. Internal surveys also indicate relatively low AI readiness across several functions, accompanied by growing concern that AI adoption may threaten existing roles rather than create new opportunities. Leadership recognizes that the greatest challenge will not simply be introducing new technologies, but redesigning work, building new capabilities and helping employees embrace new ways of working while maintaining trust, engagement and productivity throughout the transformation.

Taken together, these challenges point to a common conclusion. StyleVerse's future competitiveness will not be determined solely by launching better products or expanding into new markets. It will depend on how effectively the organization redesigns its operating model, integrates AI into everyday decision-making and enables people to focus on the uniquely human capabilities—creativity, judgment, empathy and relationship building—that continue to define the company's brands. It is this realization that has prompted the Executive Leadership Team to embark on the most significant transformation in the company's history.

Chief Executive Officer's Mandate

StyleVerse has set an ambitious objective of achieving **15% revenue growth over the next fiscal year**, driven by faster product innovation, stronger customer engagement, international expansion and continued growth of its digital business. However, the Executive Leadership Team agrees that these ambitions cannot be achieved simply by improving existing processes or investing in new technologies. Recognizing that these challenges cannot be solved independently, the Executive Leadership Team concluded that StyleVerse requires an enterprise-wide transformation rather than a series of function-specific improvements.

During the annual strategy review, the Executive Committee reflected on how the fashion industry has evolved over the past decade. Competitors are launching collections in weeks rather than months, making merchandising decisions in near real-time and delivering increasingly personalized customer experiences. While StyleVerse continues to enjoy strong brand recognition and customer trust, leadership believes the organization is no longer competing solely on product quality or retail footprint. Increasingly, success will depend on how quickly the company can identify trends, make decisions and empower employees to respond to changing customer expectations.

The CEO summarized the challenge by stating:

"For years, we have focused on designing better products. Our next phase of growth depends on designing a better organization. AI is not simply another technology investment—it is an opportunity to rethink how work gets done across StyleVerse. If we can reduce repetitive work, accelerate decision-making and enable our people to spend more time creating value for customers, we will build a lasting competitive advantage."

Not all members of the Executive Leadership Team, however, view the transformation through the same lens. The Chief Design Officer believes AI can significantly accelerate research, trend

identification and concept development, but cautions that the company's creative identity and craftsmanship must always remain human-led. The Chief Marketing Officer believes StyleVerse already possesses sufficient customer data to personalize every customer interaction, yet the organization lacks the processes and capabilities required to convert those insights into meaningful customer experiences. Meanwhile, the Chief Human Resources Officer believes the greatest challenge will not be deploying AI technologies but helping thousands of employees embrace new ways of working while maintaining trust, engagement and organizational culture throughout the transformation.

Despite these differing perspectives, the Executive Leadership Team agrees on one fundamental principle: AI should augment people—not replace them. The transformation should eliminate repetitive work, improve decision-making and enable employees to focus on creativity, innovation, customer relationships and strategic problem-solving rather than routine operational activities. Additionally, although Manufacturing remains a significant part of StyleVerse's workforce, leadership believes the most immediate opportunities for AI-enabled transformation lie within customer-facing and decision-intensive functions.

Accordingly, the CEO has announced a **Zero-Layoff AI Transformation**, under which no employee will lose their role because of AI adoption. Instead, employees whose work is affected by automation will be reskilled, upskilled and redeployed into higher-value roles across the organization. To support this transformation, the Board has approved an **AI and Digital Transformation investment of ₹200 Crores for FY25**, making this one of the largest strategic investments in the company's history.

Summary of Deliverables Questions:

Recognizing the scale and complexity of this initiative, StyleVerse has appointed PwC as its strategic transformation partner to help define the future operating model for the organization. After reviewing StyleVerse Global's current state and the CEO's transformation mandate, you as the strategic consultant team need to help the firm with the following:

1. Conduct a comprehensive task audit across StyleVerse's key business functions, including Design & Creative, Merchandising & Planning, Manufacturing & Quality, Retail Operations, Marketing & Customer Experience, and Corporate Functions. For each function, classify activities as Automatable, Augmentable or Fundamentally Human, ensuring that AI automates up to 40% of routine work across the organization. Your recommendations should clearly justify why particular activities should remain human-led while others can be augmented or automated, taking into account creativity, judgment, empathy, regulatory requirements and customer impact.

2. Based on the challenges identified in the case, identify the business functions that should be prioritized for the first phase of StyleVerse's AI transformation and justify your recommendations based on business impact, customer value, workforce size, automation potential and implementation feasibility. For these priority functions, redesign the future operating model by recommending changes to organizational structures, roles, responsibilities and workflows that enable effective human-AI collaboration while maintaining the CEO's Zero-Layoff commitment. In addition, recommend whether AI capabilities should be governed through a centralized **AI Center of Excellence (CoE)**, embedded within business functions, or a hybrid operating model, with supporting rationale.
3. Develop a workforce strategy that enables employees to successfully transition into an AI-enabled organization. Your proposal should explain how employees can be reskilled, upskilled and redeployed as routine work becomes increasingly automated. Recommend learning journeys for different employee groups, identify new skills required across the organization and explain how the transformation can improve productivity while strengthening employee engagement and preserving institutional knowledge.
4. Design a governance framework that enables responsible and sustainable AI adoption across StyleVerse. Your proposal should describe how AI decisions will be governed, how data privacy, intellectual property and regulatory requirements will be addressed, and how customer trust and brand authenticity will be protected. Finally, recommend a change management strategy that builds employee confidence, aligns leadership around a common vision and drives long-term adoption across the organization.

Exhibits:

Exhibit 1: StyleVerse Revenue Breakup by Brand

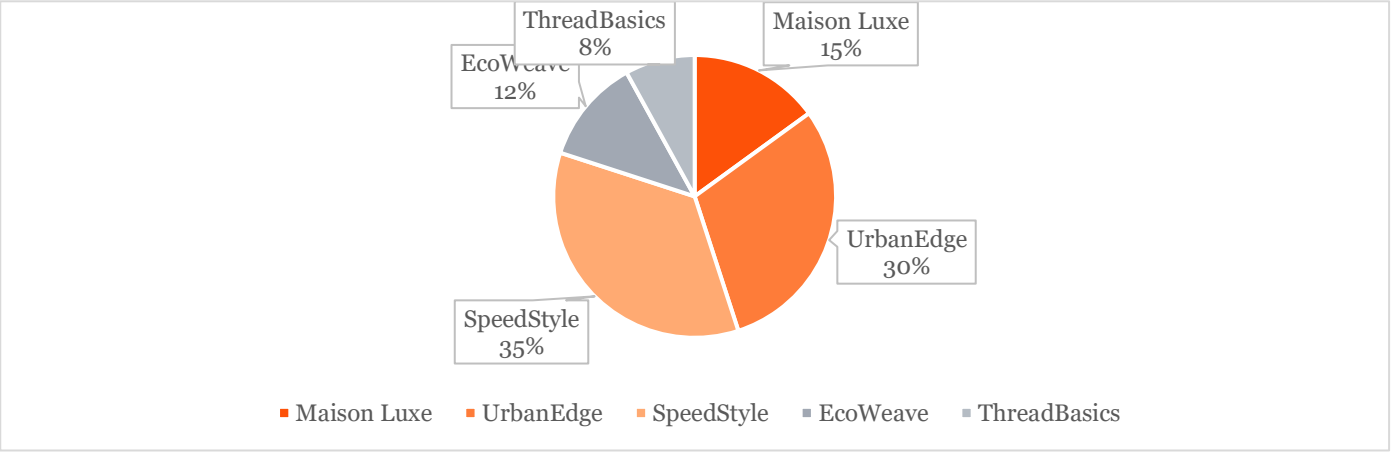


Exhibit 2: Customer Experience Performance Metrics (FY24)

Metric	Maison Luxe	UrbanEdge	SpeedStyle	EcoWeave	ThreadBasics
Net Promoter Score (NPS)	62	48	35	55	30
Return Rate	8%	15%	28%	12%	18%
Repeat Purchase Rate	45%	38%	32%	42%	25%
Customer Queries/Month	5,000	18,000	45,000	8,000	12,000
Avg. Resolution Time (hrs)	12	36	72	24	48
Top Query Type	Styling advice	Delivery status	Size/Fit issues	Sustainability info	Returns/Refunds

Exhibit 3: Workforce Profile by Business Function (FY24)

Function	Headcount	Avg. Attrition	Avg. Tenure	Transformation Priority
Design & Creative	1,500	18%	4.6	Medium
Merchandising & Planning	1,200	22%	3.9	High

Manufacturing & Quality	11,000	36%	2.3	Medium
Retail Operations	10,000	42%	1.7	Very High
Marketing & Customer Experience	2,500	24%	3.3	Very High
Corporate	1,800	14%	5.1	Medium

Exhibit 4: Current Task Distribution by Function

Based on internal time-motion study conducted across functions

Function	Routine / Repetitive Tasks	Judgment-Based Tasks	Creative / Strategic Tasks
Design & Creative	30%	25%	45%
Merchandising & Planning	50%	30%	20%
Manufacturing & Quality	60%	30%	10%
Retail Operations	55%	25%	20%
Marketing & Customer Experience	40%	25%	35%
Corporate Functions	55%	30%	15%
Organization Average	48%	28%	24%

*** Note:** Routine/Repetitive tasks represent activities that are rule-based, transactional and standardized. Judgment-Based tasks require business context, decision-making or human oversight, while Creative/Strategic tasks rely on innovation, relationship building, empathy and brand stewardship. Students should use this exhibit as an input for their task audit but are encouraged to challenge these classifications where appropriately justified.

Exhibit 5: AI Adoption Readiness Assessment (Internal Survey)

Survey of 500 employees across functions (Scale: 1–5)

Parameter	Design	Merchandising	Manufacturing	Retail	Marketing	Corporate
Awareness of AI tools	3.8	3.2	2.1	2.3	3.9	3.5
Willingness to adopt AI	4.1	3.5	2.8	3.0	4.2	3.8
Fear of job displacement	2.2	3.0	4.5	4.3	2.5	2.0
Current digital skill level	3.9	3.0	1.8	2.2	3.7	3.6

General Instructions:

Please use the following format for the presentation:

1. Executive Summary – Mandatory and should not exceed 2 slides.
2. Body - Do not exceed 10 slides for the main body of the deck (excluding executive summary and appendix). Use your own judgment to decide the number of slides for each deliverable.
3. Appendix - Should not exceed 50 slides.
4. To keep the content readable, do not go below a font size of 10. Preferably, use 12 or above. Slide headers & content use font type - Georgia and Arial, respectively.
5. In case of quoting data from external sources, please mention references in the footer. Use American Psychological Association (APA) style referencing.
6. Please make assumptions wherever required. Also state them clearly in your calculations and add them in the footer section.